dire predictions to offer. "The crypto market is now left for the dead and this was the final nail in the coffin," Suman Bannerjee, CIO, Hedonova, a US-based hedge fund, said. "What we'll see for the next few years is a crypto winter with depressed Bitcoin prices. Institutional investors will have to up their standards of due diligence and most exchanges won't pass that."

There are over 7,000 different cryptocurrencies that are traded publicly, but the number of these currencies in circulation would be much more. The very nature of the cryptos—unregulated and decentralised—means that anyone with knowledge of the underlying technology can launch a cryptocurrency. The surge in interest in cryptocurrencies has also woken up governments worldwide that are now looking at ways and means to maintain a tight leash on these virtual platforms—by no means an easy job—putting in place regulations on cryptocurrency trade and in some cases, as in China, banning cryptocurrency transactions altogether.



"Anything that derives value based on make-believe, without any underlying asset, is just speculation under a sophisticated name. While technology has supported the reach of the financial sector and its benefits must be fully harnessed, its potential to disrupt financial stability has to be guarded against"

SHAKTIKANTA DAS
Governor, Reserve Bank of India

REINING IN CRYPTOS

In India, the Cryptocurrency and Regulation of Official Digital Currency Bill, 2021, is still in the works and is yet to be tabled in Parliament. It is still not clear if the country will introduce stringent controls over crypto trading or will ban it altogether, as the Reserve Bank of India (RBI) had been advocating. RBI governor Shaktikanta Das had described cryptocurrencies as a "clear danger" and said that anything that derives value based on make-believe, without any underlying asset, is just speculation under a sophisticated name. In the foreword to the RBI's Financial Stability Report, June 2022, Das said, 'While technology has supported the reach of the financial sector, its benefits must be fully harnessed, its potential to disrupt financial stability has to be guarded against.'

The RBI's solution to address the need for digital money seems to be a digital rupee. In November, it launched, on a pilot basis, a Central Bank Digital Currency or a digital version of the rupee. The e-rupee will be released in two forms: wholesale for interbank settlements and retail for the public. Experts do not see the e-rupee gaining much traction in a market that has already seen a big surge in payments using the UPI (unified payments interface) platform. Moreover, the country seems to be waiting for a precedent in the developed world before pursuing any stringent regulations. At the World Economic Forum in Davos in January, Prime Minister Narendra Modi said that a collective global effort was needed to deal with the problems posed by cryptocurrencies. "The kind of technology it is associated with, the decision taken by a single country will be insufficient to deal with its challenges. We have to have a similar mindset," Modi said.

Although there is no regulation on crypto trade in India yet, the taxes imposed in the Union budget this year have disincentivised many from such investments. The Centre has levied a 30 per cent tax on all Virtual Digital Assets' transactions, whether short-term or long-term in nature. Moreover, losses incurred on cryptocurrencies cannot be offset against profits from any other asset or business. The Centre has also imposed a 1 per cent TDS (tax deducted at source) on all crypto transactions.

Industry exchanges in India say that they have taken measures to safeguard the interest of investors given the FTX crash. "As a custodian of the trust of 18 million users and as India's leading crypto investing app, we believe the onus is on us to build a credible, responsible and trustworthy crypto ecosystem in India," Ashish Singhal, co-founder and CEO, Coinswitch, a leading crypto exchange, said. "We take our fiduciary duties seriously. Our financials are fully audited. We have zero exposure to FTX or Alameda Research." He said that his firm's business model is simple and straightforward—it earns commissions from transactions. But investors are still cautious. "The FTX episode makes you think that even the biggest institutions in the crypto industry can fall in an instant, so I think it's going to be a long and scary ride ahead throughout the bear market," says Jain, adding that he won't be surprised if this happens with other crypto giants as well. He trades on Binance, and hopes that "it's too big to fall."

The crypto sector is at the crossroads. As dark clouds loom on the horizon, it is the hapless investors who risk losing their money in what is perhaps the most uncertain asset class that exists today. Before a major collapse of the crypto market singes investors, large economies should take the lead to put systems in place that can protect their interests and money. Or else, one of the most exciting financial concepts of the present day can turn into the worst nightmare. ■